Presentation on: Direct Power Purchase Agreement Mechanism - Decree 57

September, 2025

CONFIDENTIAL

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1. *Overview of The DPPA Mechanism*

** Summary of DPPA Models:*

DPPA Models

Model 1: Physical DPPA
(by private wire)

It involves a contract for electricity purchase and delivery through private wires between RE Generators and Large Customers

Model 2: Financial DPPA
(by national grid)

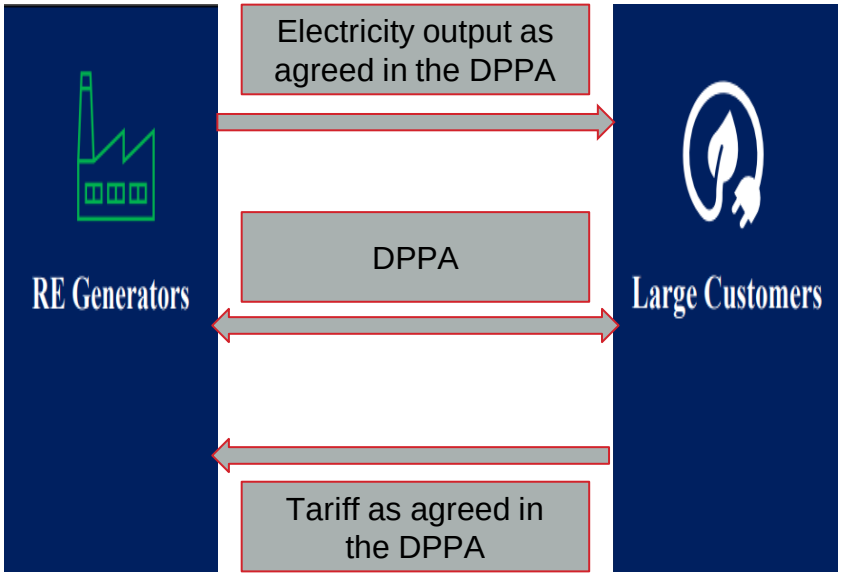
- The RE Generator sells all electricity produced into the VWEM.

- Consumer (or authorized IP/EPZ power retailer/utility) buys electricity from grid via a power purchase agreement with EVN Power Corporation to meet its power demands.

- The RE Generator and the Large Customer (or the Authorized Retailer) purchase and sell electricity through a forward contract (CfD).

2. DPPA Models

* Models_ Physical DPPA



Key Points:

RE generator and project:

- No Limitation on capacity; RTS expressly rules included; all types of RE technologies permitted to participate.
- Projects need to comply with master planning (April.25 revised PDP8, PDP Implementation Plan (IP) and provincial master plans).

Eligible customers:

- Monthly consumption no less than that of a **'large customer'** as per VWEM rules.
- Currently: 200,000 kWh average per month over the previous 12 months.

Scope of application: Currently, the majority applies to RST (Roof-top Solar).

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2. DPPA Models

* Models_ Financial DPPA

Financial DPPA – Key Challenges

Consumer:

- ❑ Customers with 16/24h load, requested purchase DPPA power following clusters or multiple nearby factories.
- ❑ Customers with 24/24h load, have no viable solution to secure renewable energy supply at all hours.

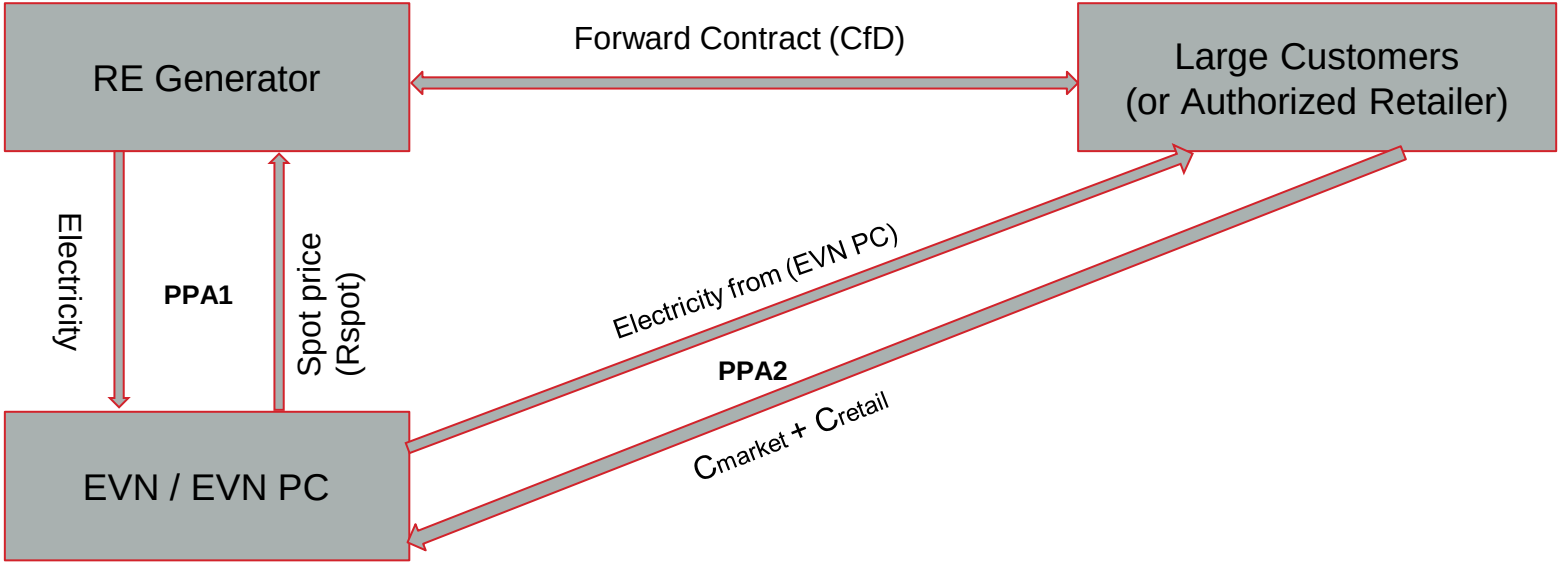
RE Generator:

- ❑ Many projects are included in PDP8 but lack land allocation → subject to investor selection through auctions (Decree 115, Circular 27).
- ❑ Projects with meet conditions still face unresolved pricing issues due to DPPA uncertainties: unforeseeable fees, output quantity controlled by third parties, and 15–20 year commitments amid an unstable power market.

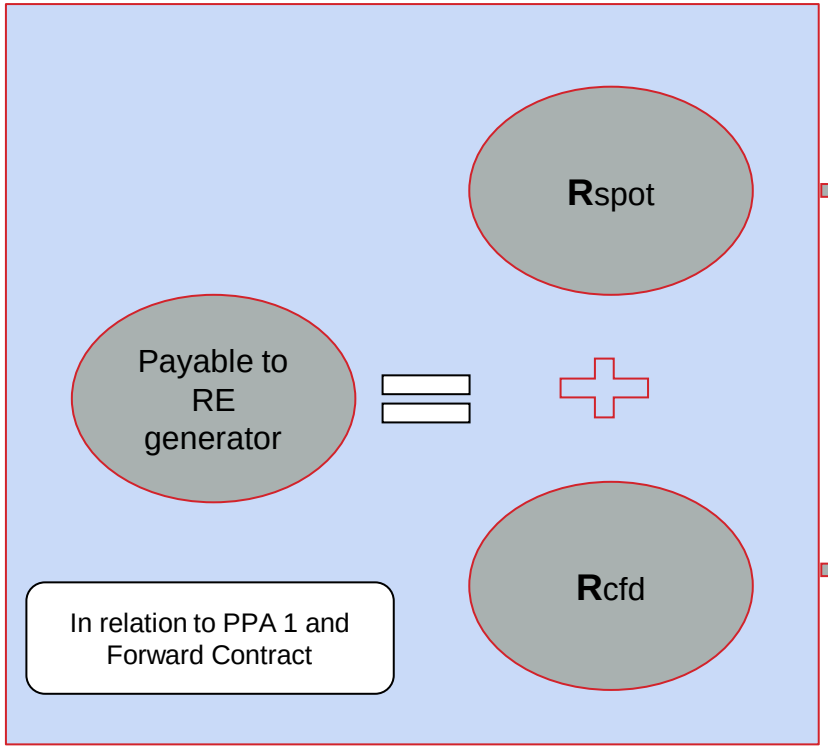
Scope of applications:

- ❑ RE Generator which has a wind, solar, or biomass power plant with a capacity of 10 MW or more that are connected to the national electricity grid and directly participates in VWEM;
- ❑ Large Customer using electricity for production purposes, or for commercial service purposes such as charging electric vehicles, which purchases electricity from EVN PC (or a non-EVN PC retailer) with a connection voltage of 22 kV or higher; and
- ❑ Authorized Retailer.

* Models_ Financial DPPA (Cont.)



* Models_ Financial DPPA (Cont.)



Payment from ***EVN/EVN PC to RE Generator***, formula as:

Rspot = Qm x FMP

- **Q**m means metered energy output (kWh)
- **FMP** means full market price which is calculated as follows:

FMP = SMP + CAN

SMP means spot market electricity price (VND/kWh)
CAN means market capacity price (VND/kWh)

Payment from **Large Customer to RE Generator**, formula as:

RCfD = (Pc – FMP) x Qc

Pc means committed price in CfD (VND/kWh)
Qc means committed energy output in CfD (kWh)
FMP means full market price (VND/kWh)

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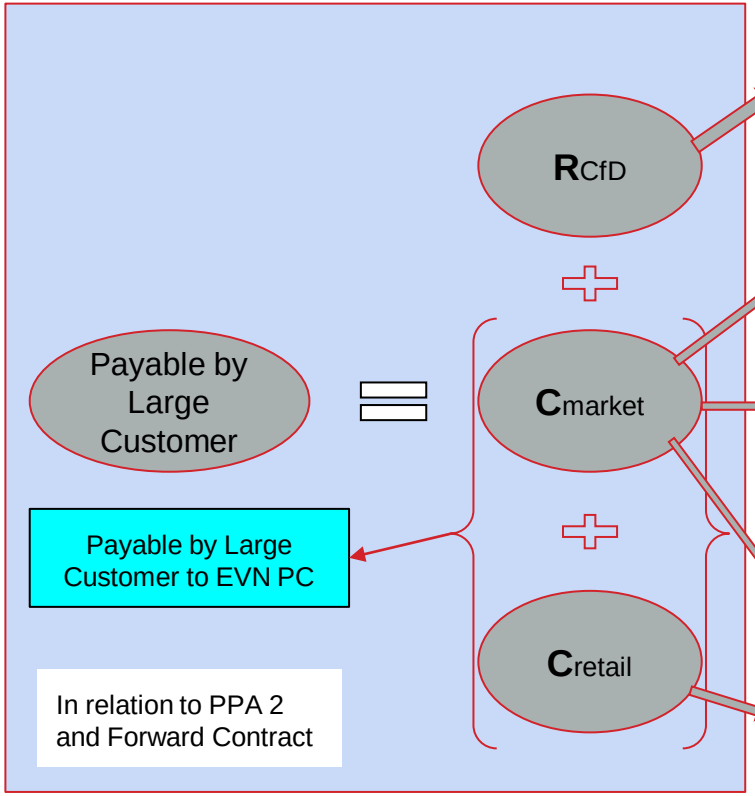
* Models_ Financial DPPA (Cont.)



To be settled between **RE Generator** and **Large Customer** under the Forward Contract as per the formula for **RCFD**

Cconsumption means the total electricity purchase price to be paid by the Large Customer to EVN PC which is calculated as follows:
Cconsumption = Qconsumption x CFMP x K

Qconsumption means the electricity volume consumed by Large Customer as adjusted (kWh)

CFMP means electricity purchase price to be paid to EVN PC in the spot market (VND/kWh)

K means power distribution loss coefficient

CDPPA means DPPA charges (for use of electricity system services) which is calculated as follows:
CDPPA = Qconsumption x CDPPA Unit

- In 2025, The **CDPPA**dv = 360,1 VND/kWh (~1,38 Cent).
- In 2025, The **CCL** = 163,2 VND/kWh (~0.63 Cent)

⇒ Total DPPA Charge in 2025:
523,34 VND/Kwh ~ 2.01 cents/kWh

Cdifference means the difference clearing charge which is calculated as follows: **Cdifference = Qconsumption x Pdifference**

Payable only for the electricity volume consumed by the Large Customer in excess of the electricity output generated by the RE Generator, and calculated based on the electricity retail tariff (VND) published by the MOIT

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3. DPPA Eligibility Requirements for the DPPA through National grid

Documents for Registration:

No.	Documents
1	Letter requesting participation in DPPA mechanism
2	The document of agreement in principle signed between the Buyer and the Seller on the purchase and sale of electricity through the CfD contract. Including the following information: ❑ Expected signing of the CFD contract ❑ Expected termination of the Seller's existing PPA contract to participate in the DPPA mechanism
3	Report on the current status of the Seller (wind, solar, biomass power plants) such as: Type of power plant, capacity, current status of the plant, infrastructure to participate in the electricity market and electricity price at the existing PPA "if any"
4	Buyer information such as: location of electricity consumption facility, purpose of electricity use, current status of electricity use "if any", infrastructure to participate in the electricity market and existing electricity price "if any"
5	Document agreeing on the principle of allocating the percentage (%) of the Seller's electricity output but (not exceeding 100%) to the Buyer

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Procedures Registration to NSMO:

Customers submit application to participate in DPPA mechanism to NSMO

5 days

NSMO sends confirmation documents to the Electricity Corporation, electricity retailers in the Industrial Park, EVN and reviews the compliance of the Customer's documents.

5 days

The Electricity Corporation, the electricity retailer in the Industrial Park and EVN send back to NSMO a document confirming the Customer's profile.

5 days

NSMO sends a letter response to the Customers regarding the expected time for signing the contract between EVN and RE generators, and the expected time of applying the DPPA mechanism

4. Ecoplexus Sharing

Proposes and Recommendations

- Cancelling the Ccl (Charges for Difference Compensation regarding EVN's payments to other backup sources) and fixing a cap on DPPA fee variation per year;
- Aggregation mechanism for clean electricity instead of the current 30-minute matching mechanism; Such as:
  1/ Aggregation of supply: surplus electricity needs to be stored as renewable energy credits and sold to Large Customers during night hours.
  2/ Aggregation of demand: electricity buyers need to collect many electricity meters in the same location to buy electricity from a large project
- Bidding for investor selection criteria on lowest price is conflicting with the priorities that DPPA projects are striving for (more contribution to the tax);
- Risks & CfD Contract: Negotiations on CfD Contract need to consider through on such as the absence of payment guarantees, unilateral termination of the contract, and uncertainties regarding the contract term;

Thank you

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